

Case 4: Should We Go to Smaller Towns?

Domain: Sales and Marketing | Decision Archetype: Market Entry | Framework: Ansoff Matrix + TAM-SAM-SOM

A voice note landed in the NestCraft regional WhatsApp group at 9 p.m.: "Sir, log yahan bhi order kar rahe hain online, bas delivery nahi hai. Kya hum yahan expand kar sakte hain?" ("Sir, people here are placing orders online too, we just don't deliver here. Can we expand?")

NestCraft, an online furniture brand, had built its business in 12 large cities. The message was from a sales rep in Indore who'd noticed something odd — customers from smaller towns nearby were placing orders through NestCraft's website, then either cancelling when they found out delivery wasn't available, or driving two hours to the nearest city warehouse to collect furniture themselves.

The founder, Neha Bhatt, asked her team to look into it properly. They pulled search and website traffic data for 40 smaller towns where NestCraft didn't operate, and estimated how many of those visitors could realistically become paying customers if delivery existed.

The opportunity looked real — but expansion wasn't free. Furniture is bulky and expensive to ship; smaller towns meant new warehouses, new delivery partnerships, and uncertain demand. Neha had Rs. 3 crore allocated for expansion this year and needed to decide how much of it to risk on this move, and whether it made sense at all compared to just doing more business in the 12 cities NestCraft already knew well.

Exhibit 1 — Market Sizing for New Towns (simplified)

	Estimate
Total interested website visitors from these towns (annual)	4,80,000
Realistic buyers if delivery available (Serviceable segment)	96,000
Buyers NestCraft could realistically capture in Year 1	9,600

Exhibit 2 — Existing Business vs New Market (simple comparison)

	Current 12 Cities	40 New Towns
Estimated Year 1 Revenue Potential	Rs. 18 Cr (from deeper penetration)	Rs. 6 Cr

Setup Cost Needed	Low (infrastructure exists)	Rs. 2.5 Cr (new warehouses/logistics)
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Discussion Questions

1. Should NestCraft expand into these 40 smaller towns this year?
2. Would you rather NestCraft invest the Rs. 3 crore in going deeper into its existing 12 cities instead?
3. What would convince you this is a real opportunity versus a handful of enthusiastic customers?